FEASIBILITY

Feasibility: five ways to use the building

In the realistic case the five plans need $6.8M to $18.5M, including buying the property at an assumed $3.0M plus fees and closing. Once open they make $388k to $1.1M profit a year, so they earn it back in 14.2 to 23.6 years. No plan earns it back faster than a typical investment property (about 12 years). In the best case they earn it back in 4.2 to 8.2 years; in the worst case four of the five lose money.

Buying the property is included

Purchase included. Every number on this page includes buying the property at an assumed price of $3.0M, plus fees, closing costs, surveys and inspections. Building costs are at Memphis prices, with the ownership group managing the work and hiring each trade directly instead of paying one general contractor to do everything.

Hall bookings matter most in the three plans where the owners run the halls: the realistic case assumes 220 events a year across both halls.

The plan cards follow the case you pick below; the range chart shows all three at once.

To test other costs, income or events yourself, use Try your own numbers. Nothing you type is saved.

Printed view: the plan cards, the businesses and the column costs show the realistic case; the range chart and its table show all three cases. Every number includes buying the property at an assumed $3.0M plus fees and closing.

01 · FIVE PLANS

What each plan costs and what it makes

Each card shows the **realistic** case. “Profit each year” is before any loan payments. Every number includes buying the property at an assumed $3.0M plus fees and closing.

Realistic case: the money put in comes back in 14.2 years (Efficient full plan) to 23.6 years (Lease everything). No plan earns it back faster than a typical investment property (about 12 years).

Lease everything

Opens in about 18 months

× Slower than a typical investment property (about 12 years)

Money in (buying + building, one-time) Includes buying at an assumed $3.0M plus fees and closing	$15.1M
Money coming in each year	$1.2M
Money going out each year	$544k
Profit each year Before any loan payments	$638k

Biggest one-time costs: Fit-out help for tenants ($1.6M); Cushion for surprises ($936k); Heating and air conditioning (rooftop units) ($921k).

Years to earn back the money put in	23.6 years	Profit each year for every $100 spent	$4.23

> Biggest yearly costs: Upkeep: parking lot, lighting, landscaping, common areas ($179k); Property tax ($163k).

What gets built. The full program as drawn, but every space is leased: an outside operator rents Hall A and Hall B, a playground operator rents the kids' center, shops and flex space are leased, and a fuel company rents the frontage land for a gas station.

Who runs what. Tenants only

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Shop rents	$361k
Flex space rents (open, warehouse-style units)	$153k
Kids' center rent	$81k
Hall operator rent	$95k
Tenants repay their share of tax, insurance and upkeep	$396k
Land rent from the gas station	$95k
Money coming in each year	**$1.2M**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$24k
Property tax	$163k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$58k
Set-aside for roof and AC repairs	$32k
Money going out each year	**$544k**

Profit each year: $638k.

What the money pays for

Buying and building, line by line, realistic case

Item	One-time
Buying the property (assumed $3.0M) and closing	
Purchase price (assumed)	$3.0M
Fees, closing costs, surveys and inspections	$265k
Subtotal	**$3.3M**
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	
Roof repairs, coating or replacement	$727k
Heating and air conditioning (rooftop units)	$921k
Fire sprinklers	$300k
Fire alarm with voice evacuation	$450k
Clearing out the old store interior	$350k
New shop fronts	$551k
New entrances and canopies	$470k
Walls between tenant spaces	$533k
Restrooms	$783k
Electrical	$470k
Plumbing	$196k
Parking lot repair and repaving	$449k
Site work, lighting and landscaping	$313k
Outside walls and paint	$313k
Stormwater detention	$78k
Flood compliance work	$196k
Removing the 4 hall columns (steel beams)	$700k
Subtotal	**$7.8M**
Finishing the halls and kitchens	
Nothing under this heading in this plan	*$0*
Subtotal	**$0**
Design, permits and a cushion for surprises	
Design, engineering, permits and surveys	$546k
Cushion for surprises	$936k
Subtotal	**$1.5M**
Signing tenants: build-out allowances and broker fees	
Fit-out help for tenants	$1.6M
Leasing commissions	$277k
Subtotal	**$1.9M**
Holding the building and loan interest during the work	
Tax, insurance and upkeep while building	$263k
Construction-loan interest	$378k
Subtotal	**$641k**
Money in (buying + building, one-time)	**$15.1M**

Includes $700k to take out four roof columns in the halls.

Full plan (as drawn)

Opens in about 18 months

× Slower than a typical investment property (about 12 years)

Money in (buying + building, one-time) Includes buying at an assumed $3.0M plus fees and closing	$18.5M
Money coming in each year	$3.6M
Money going out each year	$2.5M
Profit each year Before any loan payments	$1.1M
Years to earn back the money put in	16.6 years
Profit each year for every $100 spent	$6.01

Biggest one-time costs: Hall finishes, lighting and sound ($2.7M); Kitchens: hoods, fire suppression, grease trap, walk-ins ($1.1M); Cushion for surprises ($964k).

Biggest yearly costs: Halls: year-round staff, utilities, insurance, equipment lease ($561k); Halls: food for catered events ($360k).

What gets built. Everything at once: Hall A and Hall B with twin kitchens and dining, the 18,000 SF kids' playground, about 22 small shops, flex space split into rentable units and the fuel pad. Each main room has a movable wall, so it can hold one large event or two 150–350 guest events at once.

Who runs what. Owners' operating company runs the halls. Tenants: shops, flex, kids' center, fuel.

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Shop rents	$361k
Flex space rents (open, warehouse-style units)	$153k
Kids' center rent	$81k
Tenants repay their share of tax, insurance and upkeep	$212k
Hall bookings: room rental	$1.2M
Hall bookings: catering	$1.2M
Hall bookings: service charge on catering	$232k
Hall bookings: kitchen fees from outside caterers	$74k
Land rent from the gas station	$95k
Money coming in each year	**$3.6M**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$21k
Property tax	$132k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$44k
Set-aside for roof and AC repairs	$32k
Halls: food for catered events	$360k
Halls: catering staff	$325k
Halls: service charge paid to event staff	$116k
Halls: event-day staff (setup, cleaning, security)	$264k
Halls: card fees, marketing, supplies, repairs	$348k
Halls: year-round staff, utilities, insurance, equipment lease	$561k
Money going out each year	**$2.5M**

Profit each year: $1.1M.

What the money pays for

Buying and building, line by line, realistic case

Item	One-time
Buying the property (assumed $3.0M) and closing	
Purchase price (assumed)	$3.0M
Fees, closing costs, surveys and inspections	$265k
Subtotal	**$3.3M**
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	
Roof repairs, coating or replacement	$727k
Heating and air conditioning (rooftop units)	$921k
Fire sprinklers	$300k
Fire alarm with voice evacuation	$450k
Clearing out the old store interior	$350k
New shop fronts	$551k
New entrances and canopies	$470k
Walls between tenant spaces	$533k
Restrooms	$783k
Electrical	$470k
Plumbing	$196k
Parking lot repair and repaving	$449k
Site work, lighting and landscaping	$313k
Outside walls and paint	$313k
Stormwater detention	$78k
Flood compliance work	$196k
Removing the 4 hall columns (steel beams)	$700k
Movable walls that split each main room	$235k
Subtotal	**$8.0M**
Finishing the halls and kitchens	
Hall finishes, lighting and sound	$2.7M
Kitchens: hoods, fire suppression, grease trap, walk-ins	$1.1M
Opening costs and starting cash for the halls	$120k
Subtotal	**$3.9M**
Design, permits and a cushion for surprises	
Design, engineering, permits and surveys	$563k
Cushion for surprises	$964k
Subtotal	**$1.5M**
Signing tenants: build-out allowances and broker fees	
Fit-out help for tenants	$908k
Leasing commissions	$234k
Subtotal	**$1.1M**
Holding the building and loan interest during the work	

Tax, insurance and upkeep while building	**$263k**
Construction-loan interest	**$306k**
Subtotal	**$569k**
Money in (buying + building, one-time)	**$18.5M**

[1] Includes $700k to take out four roof columns in the halls.

Full plan, built efficiently

Opens in about 15 months

× Slower than a typical investment property (about 12 years)

Money in (buying + building, one-time) $15.2M

Includes buying at an assumed $3.0M plus fees and closing

Biggest one-time costs: Hall finishes, lighting and sound ($2.4M); Kitchens: hoods, fire suppression, grease trap, walk-ins ($915k); Removing the 4 hall columns (steel beams) ($700k).

Money coming in each year	$3.5M
Money going out each year	$2.5M
Profit each year Before any loan payments	$1.1M
Years to earn back the money put in	14.2 years
Profit each year for every $100 spent	$7.05

Biggest yearly costs: Halls: year-round staff, utilities, insurance, equipment lease ($621k); Halls: food for catered events ($360k).

What gets built. Same final uses, built leaner: 12 larger shop bays instead of 22, flex left open until leased, roof repaired and coated where sound, HVAC replaced only for the halls and kids' center, existing restroom cores reused, hall furniture and kitchen equipment leased. The movable walls in the main rooms stay.

Who runs what. Same as the full plan.

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Shop rents	$335k
Flex space rents (open, warehouse-style units)	$125k
Kids' center rent	$81k
Tenants repay their share of tax, insurance and upkeep	$213k
Hall bookings: room rental	$1.2M
Hall bookings: catering	$1.2M
Hall bookings: service charge on catering	$232k
Hall bookings: kitchen fees from outside caterers	$74k
Land rent from the gas station	$95k
Money coming in each year	**$3.5M**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$19k
Property tax	$141k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$41k
Set-aside for roof and AC repairs	$32k
Halls: food for catered events	$360k
Halls: catering staff	$325k
Halls: service charge paid to event staff	$116k
Halls: event-day staff (setup, cleaning, security)	$264k
Halls: card fees, marketing, supplies, repairs	$268k
Halls: year-round staff, utilities, insurance, equipment lease	$621k
Money going out each year	**$2.5M**

Profit each year: $1.1M.

What the money pays for

Buying and building, line by line, realistic case

Item	One-time
Buying the property (assumed $3.0M) and closing	
Purchase price (assumed)	$3.0M
Fees, closing costs, surveys and inspections	$265k
Subtotal	**$3.3M**
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	
Roof repairs, coating or replacement	$467k
Heating and air conditioning (rooftop units)	$614k
Fire sprinklers	$258k
Fire alarm with voice evacuation	$450k
Clearing out the old store interior	$282k
New shop fronts	$301k
New entrances and canopies	$352k
Walls between tenant spaces	$207k
Restrooms	$587k
Electrical	$407k
Plumbing	$172k
Parking lot repair and repaving	$431k
Site work, lighting and landscaping	$235k
Outside walls and paint	$235k
Stormwater detention	$78k
Flood compliance work	$196k
Removing the 4 hall columns (steel beams)	$700k
Movable walls that split each main room	$235k
Subtotal	**$6.2M**
Finishing the halls and kitchens	
Hall finishes, lighting and sound	$2.4M
Kitchens: hoods, fire suppression, grease trap, walk-ins	$915k
Opening costs and starting cash for the halls	$110k
Subtotal	**$3.4M**
Design, permits and a cushion for surprises	
Design, engineering, permits and surveys	$435k
Cushion for surprises	$621k
Subtotal	**$1.1M**
Signing tenants: build-out allowances and broker fees	
Fit-out help for tenants	$530k
Leasing commissions	$217k
Subtotal	**$747k**
Holding the building and loan interest during the work	

Tax, insurance and upkeep while building	**$219k**
Construction-loan interest	**$271k**
Subtotal	**$490k**
Money in (buying + building, one-time)	**$15.2M**

[1] Includes $700k to take out four roof columns in the halls.

Hybrid (phased)

Opens in about 10 months (first step)

× Slower than a typical investment property (about 12 years)

Money in (buying + building, one-time) $13.9M

Includes buying at an assumed $3.0M plus fees and closing

Biggest one-time costs: Hall B and Kitchen B in year 3 (2 more columns, its movable wall, finishes and kitchen) ($2.6M); Hall finishes, lighting and sound ($1.5M); Roof repairs, coating or replacement ($467k).

Money coming in each year	$3.3M
Money going out each year	$2.4M
Profit each year Before any loan payments	$903k
Years to earn back the money put in	15.3 years
Profit each year for every $100 spent	$6.52

First step, Hall A only: $11.3M to build and $504k profit a year, earning it back in 22.4 years. Adding Hall B later costs $2.6M more and gives the totals above.

Biggest yearly costs: Halls: year-round staff, utilities, insurance, equipment lease ($621k); Halls: food for catered events ($360k).

What gets built. Phase 1: Hall A, Kitchen A, the dining room and the kids' center; the rest is rented in its current condition on short leases. Phase 2 (year 3 in the realistic case): Hall B and Kitchen B once Hall A books about 100 events a year. Each main room gets a movable wall when it is built.

Who runs what. Owners' operating company runs the halls. Tenants: kids' center, the rest of the space, fuel.

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Rents from space leased as it is	$256k
Kids' center rent	$81k
Tenants repay their share of tax, insurance and upkeep	$184k
Hall bookings: room rental	$1.2M
Hall bookings: catering	$1.2M
Hall bookings: service charge on catering	$232k
Hall bookings: kitchen fees from outside caterers	$74k
Land rent from the gas station	$95k
Money coming in each year	**$3.3M**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$13k
Property tax	$94k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$30k
Set-aside for roof and AC repairs	$32k
Halls: food for catered events	$360k
Halls: catering staff	$325k
Halls: service charge paid to event staff	$116k
Halls: event-day staff (setup, cleaning, security)	$264k
Halls: card fees, marketing, supplies, repairs	$268k
Halls: year-round staff, utilities, insurance, equipment lease	$621k
Money going out each year	**$2.4M**

Profit each year: $903k.

What the money pays for

Buying and building, line by line, realistic case

Item	One-time
Buying the property (assumed $3.0M) and closing	
Purchase price (assumed)	$3.0M
Fees, closing costs, surveys and inspections	$265k
Subtotal	**$3.3M**
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	
Roof repairs, coating or replacement	$467k
Heating and air conditioning (rooftop units)	$417k
Fire sprinklers	$219k
Fire alarm with voice evacuation	$407k
Clearing out the old store interior	$172k
New entrances and canopies	$235k
Walls between tenant spaces	$190k
Restrooms	$376k
Electrical	$313k
Plumbing	$125k
Parking lot repair and repaving	$431k
Site work, lighting and landscaping	$219k
Outside walls and paint	$196k
Stormwater detention	$78k
Flood compliance work	$196k
Removing the 2 Hall A columns (steel beams)	$350k
Movable wall that splits Hall A	$117k
Subtotal	**$4.5M**
Finishing the halls and kitchens	
Hall finishes, lighting and sound	$1.5M
Kitchens: hoods, fire suppression, grease trap, walk-ins	$457k
Opening costs and starting cash for the halls	$80k
Subtotal	**$2.0M**
Design, permits and a cushion for surprises	
Design, engineering, permits and surveys	$316k
Cushion for surprises	$451k
Subtotal	**$767k**
Signing tenants: build-out allowances and broker fees	
Fit-out help for tenants	$323k
Leasing commissions	$180k
Subtotal	**$503k**
Holding the building and loan interest during the work	
Tax, insurance and upkeep while building	$146k

Construction-loan interest	**$98k**
Subtotal	**$244k**
Adding Hall B and Kitchen B later	
Hall B and Kitchen B in year 3 (2 more columns, its movable wall, finishes and kitchen)	**$2.6M**
Subtotal	**$2.6M**
Money in (buying + building, one-time)	**$13.9M**

Includes $350k to take out two roof columns in the halls (Hall A's); Hall B's two are in the cost of adding Hall B.

Lean hold

Opens in about 6 months

× Slower than a typical investment property (about 12 years)

Money in (buying + building, one-time) Includes buying at an assumed $3.0M plus fees and closing	$6.8M
Money coming in each year	$846k
Money going out each year	$458k
Profit each year Before any loan payments	$388k
Years to earn back the money put in	17.5 years
Profit each year for every $100 spent	$5.73

Biggest one-time costs: Roof repairs, coating or replacement ($431k); Fit-out help for tenants ($430k); Heating and air conditioning (rooftop units) ($307k).

Biggest yearly costs: Upkeep: parking lot, lighting, landscaping, common areas ($179k); Property tax ($99k).

What gets built. No halls yet. Repair the roof, HVAC, fire systems and parking, split the building into large blocks and rent them in their current condition to service, showroom, church, school, medical or back-office users. The halls stay an option for later.

Who runs what. Tenants only.

Money in and out each year

Where it comes from and where it goes

Where the money comes from each year

Item	Per year
Rents from space leased as it is	$494k
Tenants repay their share of tax, insurance and upkeep	$257k
Land rent from the gas station	$95k
Money coming in each year	**$846k**

Where it goes each year

Item	Per year
Allowance for empty-space gaps and unpaid rent	$18k
Property tax	$99k
Insurance, including flood	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k
Property management	$41k
Set-aside for roof and AC repairs	$32k
Money going out each year	**$458k**

Profit each year: $388k.

What the money pays for

Buying and building, line by line, realistic case

Item	One-time
Buying the property (assumed $3.0M) and closing	
Purchase price (assumed)	$3.0M
Fees, closing costs, surveys and inspections	$265k
Subtotal	**$3.3M**
Building work (roof, heating and AC, fire safety, restrooms, parking, flood, columns)	
Roof repairs, coating or replacement	$431k
Heating and air conditioning (rooftop units)	$307k
Fire sprinklers	$70k
Fire alarm with voice evacuation	$117k
Clearing out the old store interior	$78k
New entrances and canopies	$94k
Walls between tenant spaces	$225k
Restrooms	$117k
Electrical	$157k
Plumbing	$47k
Parking lot repair and repaving	$258k
Site work, lighting and landscaping	$117k
Outside walls and paint	$117k
Flood compliance work	$196k
Subtotal	**$2.3M**
Finishing the halls and kitchens	
Nothing under this heading in this plan	*$0*
Subtotal	**$0**
Design, permits and a cushion for surprises	
Design, engineering, permits and surveys	$163k
Cushion for surprises	$233k
Subtotal	**$396k**
Signing tenants: build-out allowances and broker fees	
Fit-out help for tenants	$430k
Leasing commissions	$191k
Subtotal	**$621k**
Holding the building and loan interest during the work	
Tax, insurance and upkeep while building	$88k
Construction-loan interest	$77k
Subtotal	**$165k**
Money in (buying + building, one-time)	**$6.8M**

No columns to take out: this plan does not build the halls.

03 · WAYS TO IMPROVE

What would make it more profitable

Ways to spend less on the build or bring in more each year. Each change is shown on its own, against the realistic case.

PATH TO PROFIT

If these changes happen together

+ One more event a week across the halls
+ $1,000 more per hall booking
+ $60,000 less year-round hall staff
+ Reseal the parking lot instead of repaving
+ Caterers bring and own the kitchen equipment
+ Keep the hall columns instead of removing them OPTIONAL

Plan	Earns back now	Money put in with the changes	Profit each year with the changes	Earns back with the changes	If the columns are kept (optional)
Full plan	16.6 years	$18.0M	$1.7M	10.8 years	10.3 years
Efficient full plan	14.2 years	$14.7M	$1.7M	8.8 years	8.3 years
Hybrid	15.3 years	$13.5M	$1.5M	9.0 years	8.7 years

With these changes Efficient full plan and Hybrid meet the 10-year goal, with the columns taken out. Keeping the columns is optional: the owners want open halls, and the plan assumes they come out.

Every change, one plan at a time

Each line shows one change on its own, against the realistic case, and how many years the money put in would then take to come back.

Lease everything Now: $15.1M to build, $638k profit a year, earns it back in 23.6 years

More money coming in

Change	Profit each year	Money in (one-time)	Earns back in	Note
Shops 95% leased instead of 85%	+$48k a year	Adds $104k	22.1 years	Needs strong anchors or a busy hall complex
Kids' center pays $6.00/SF instead of $4.50	+$24k a year	Adds $26k	22.8 years	Depends on the playground operator's sales
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$62k a year	Adds $68k	21.6 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

Change	Profit each year	Money in (one-time)	Earns back in	Note

Change	Profit each year	Money in (one-time)	Earns back in	Note
Keep the hall columns and decorate around them	No change	Saves $833k	22.3 years	Saves the steel beams; each main room keeps 2 columns. Optional: the owners want open halls, so this is a fallback only.
Roof needs only repairs and a coating	No change	Saves $593k	22.7 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $214k	23.3 years	Keep repaving for the worst areas
Insurance shopped 15% cheaper	No change	No change	23.6 years	Needs quotes from two or three brokers

Full plan (as drawn) Now: $18.5M to build, $1.1M profit a year, earns it back in 16.6 years

More money coming in

Change	Profit each year	Money in (one-time)	Earns back in	Note
One more event a week across the halls (+52 a year)	+$266k a year	Adds $152k	13.5 years	Weddings, engagements, corporate and community events
Charge $1,000 more per hall booking	+$170k a year	Adds $97k	14.5 years	Comparable Memphis halls ask $7,000–9,000 on a Saturday; premium venues $10,000–12,000
Cater 10% more of the events in-house	+$54k a year	Adds $31k	15.9 years	In-house catering earns more than an outside-caterer kitchen fee
Charge $5 more per guest for catering	+$57k a year	Adds $33k	15.9 years	Memphis buffets run $18–35 per guest and plated meals $28–52
Shops 95% leased instead of 85%	+$44k a year	Adds $102k	16.1 years	Needs strong anchors or a busy hall complex
Kids' center pays $6.00/SF instead of $4.50	+$22k a year	Adds $25k	16.3 years	Depends on the playground operator's sales
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$57k a year	Adds $65k	15.9 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

Change	Profit each year	Money in (one-time)	Earns back in	Note
Run the halls with $60,000 less year-round staff	+$53k a year	Adds $31k	15.9 years	Owner-managed, with part-time event staff
Keep the hall columns and decorate around them	No change	Saves $833k	15.9 years	Saves the steel beams; each main room keeps 2 columns. Optional: the owners want open halls, so this is a fallback only.
Roof needs only repairs and a coating	No change	Saves $593k	16.1 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $214k	16.4 years	Keep repaving for the worst areas
Basic hall finishes ($20/SF less)	−$11k a year	Saves $634k	16.2 years	Simpler ceilings and lighting; décor rented per event
Caterers bring and own the kitchen equipment	−$7k a year	Saves $394k	16.4 years	Kitchen shell, hoods and grease trap stay with the owner

Change	Profit each year	Money in (one-time)	Earns back in	Note
Insurance shopped 15% cheaper	No change	No change	16.6 years	Needs quotes from two or three brokers

Full plan, built efficiently Now: $15.2M to build, $1.1M profit a year, earns it back in 14.2 years

More money coming in

Change	Profit each year	Money in (one-time)	Earns back in	Note
One more event a week across the halls (+52 a year)	+$295k a year	Adds $87k	11.2 years	Weddings, engagements, corporate and community events
Charge $1,000 more per hall booking	+$176k a year	Adds $84k	12.3 years	Comparable Memphis halls ask $7,000–9,000 on a Saturday; premium venues $10,000–12,000
Cater 10% more of the events in-house	+$60k a year	Adds $29k	13.5 years	In-house catering earns more than an outside-caterer kitchen fee
Charge $5 more per guest for catering	+$63k a year	Adds $30k	13.4 years	Memphis buffets run $18–35 per guest and plated meals $28–52
Shops 95% leased instead of 85%	+$41k a year	Adds $79k	13.7 years	Needs strong anchors or a busy hall complex
Kids' center pays $6.00/SF instead of $4.50	+$22k a year	Adds $23k	13.9 years	Depends on the playground operator's sales
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$57k a year	Adds $60k	13.5 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

Change	Profit each year	Money in (one-time)	Earns back in	Note
Run the halls with $60,000 less year-round staff	+$53k a year	Adds $25k	13.5 years	Owner-managed, with part-time event staff
Keep the hall columns and decorate around them	No change	Saves $819k	13.4 years	Saves the steel beams; each main room keeps 2 columns. Optional: the owners want open halls, so this is a fallback only.
Roof needs only repairs and a coating	No change	Saves $279k	13.9 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $202k	14.0 years	Keep repaving for the worst areas
Basic hall finishes ($20/SF less)	−$11k a year	Saves $643k	13.7 years	Simpler ceilings and lighting; décor rented per event
Caterers bring and own the kitchen equipment	−$6k a year	Saves $343k	13.9 years	Kitchen shell, hoods and grease trap stay with the owner
Insurance shopped 15% cheaper	No change	No change	14.1 years	Needs quotes from two or three brokers

Hybrid (phased) Now: $13.9M to build, $903k profit a year, earns it back in 15.3 years

More money coming in

Change	Profit each year	Money in (one-time)	Earns back in	Note

Change	Profit each year	Money in (one-time)	Earns back in	Note
One more event a week across the halls (+52 a year)	+$295k a year	Adds $14k	11.6 years	Weddings, engagements, corporate and community events
Charge $1,000 more per hall booking	+$176k a year	No change	12.8 years	Comparable Memphis halls ask $7,000–9,000 on a Saturday; premium venues $10,000–12,000
Cater 10% more of the events in-house	+$60k a year	No change	14.4 years	In-house catering earns more than an outside-caterer kitchen fee
Charge $5 more per guest for catering	+$63k a year	No change	14.3 years	Memphis buffets run $18–35 per guest and plated meals $28–52
Kids' center pays $6.00/SF instead of $4.50	+$22k a year	Adds $20k	15.0 years	Depends on the playground operator's sales
Space leased as it is: 85% leased instead of the realistic case	+$43k a year	Adds $63k	14.7 years	Large blocks lease slowly; this is the upside
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$57k a year	Adds $51k	14.5 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

Change	Profit each year	Money in (one-time)	Earns back in	Note
Run the halls with $60,000 less year-round staff	+$53k a year	No change	14.5 years	Owner-managed, with part-time event staff
Keep the hall columns and decorate around them	No change	Saves $410k	14.9 years	Saves the steel beams; each main room keeps 2 columns. Optional: the owners want open halls, so this is a fallback only.
Roof needs only repairs and a coating	No change	Saves $279k	15.0 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $202k	15.1 years	Keep repaving for the worst areas
Basic hall finishes ($20/SF less)	−$7k a year	Saves $420k	15.0 years	Simpler ceilings and lighting; décor rented per event
Caterers bring and own the kitchen equipment	No change	Saves $183k	15.2 years	Kitchen shell, hoods and grease trap stay with the owner
Insurance shopped 15% cheaper	No change	No change	15.3 years	Needs quotes from two or three brokers

Lean hold Now: $6.8M to build, $388k profit a year, earns it back in 17.5 years

More money coming in

Change	Profit each year	Money in (one-time)	Earns back in	Note
Space leased as it is: 85% leased instead of the realistic case	+$144k a year	Adds $143k	13.0 years	Large blocks lease slowly; this is the upside
Add a restaurant pad on Summer Ave (it rents the land, about $70,000 a year)	+$59k a year	Adds $43k	15.2 years	Needs a restaurant tenant and the 5800/5810 Summer pads

Ways to save

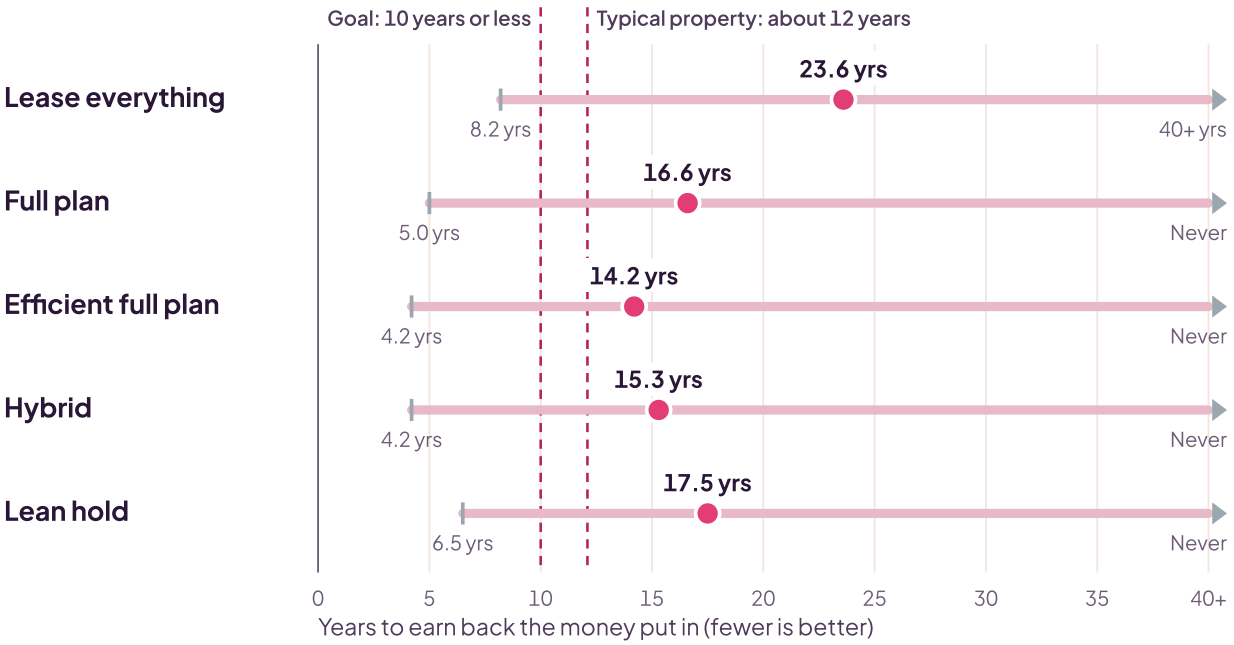
Change	Profit each year	Money in (one-time)	Earns back in	Note
Roof needs only repairs and a coating	No change	Saves $237k	16.9 years	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	No change	Saves $121k	17.2 years	Keep repaving for the worst areas
Insurance shopped 15% cheaper	No change	No change	17.3 years	Needs quotes from two or three brokers

04 · THE RANGE

How long each plan takes to earn back the money put in

All three cases at once. Fewer years is better.

In the realistic case no plan earns back the money put in faster than a typical investment property (about 12 years); all five do in the best case, none in the worst



Years to earn back the one-time money put in, including buying the property at an assumed $3.0M plus fees and closing. Fewer years is better. Each grey bar runs from the best case (left) to the worst case (right); the blue dot is the realistic case. "Never" means the plan loses money in that case, and the chart stops at 40 years. Dashed lines: the 10-year goal and a typical investment property (about 12 years).

The numbers as a table

All three cases for every plan

Plan	Case	Money in (buying + building)	Profit each year	Years to earn back	Profit per $100 spent
Lease everything	Worst	$23.2M	$299k	More than 40 years	$1.29
Lease everything	**Realistic**	**$15.1M**	**$638k**	**23.6 years**	**$4.23**
Lease everything	Best	$10.5M	$1.3M	8.2 years	$12.13
Full plan	Worst	$28.2M	-$200k	Never, at these numbers	Loses $0.71

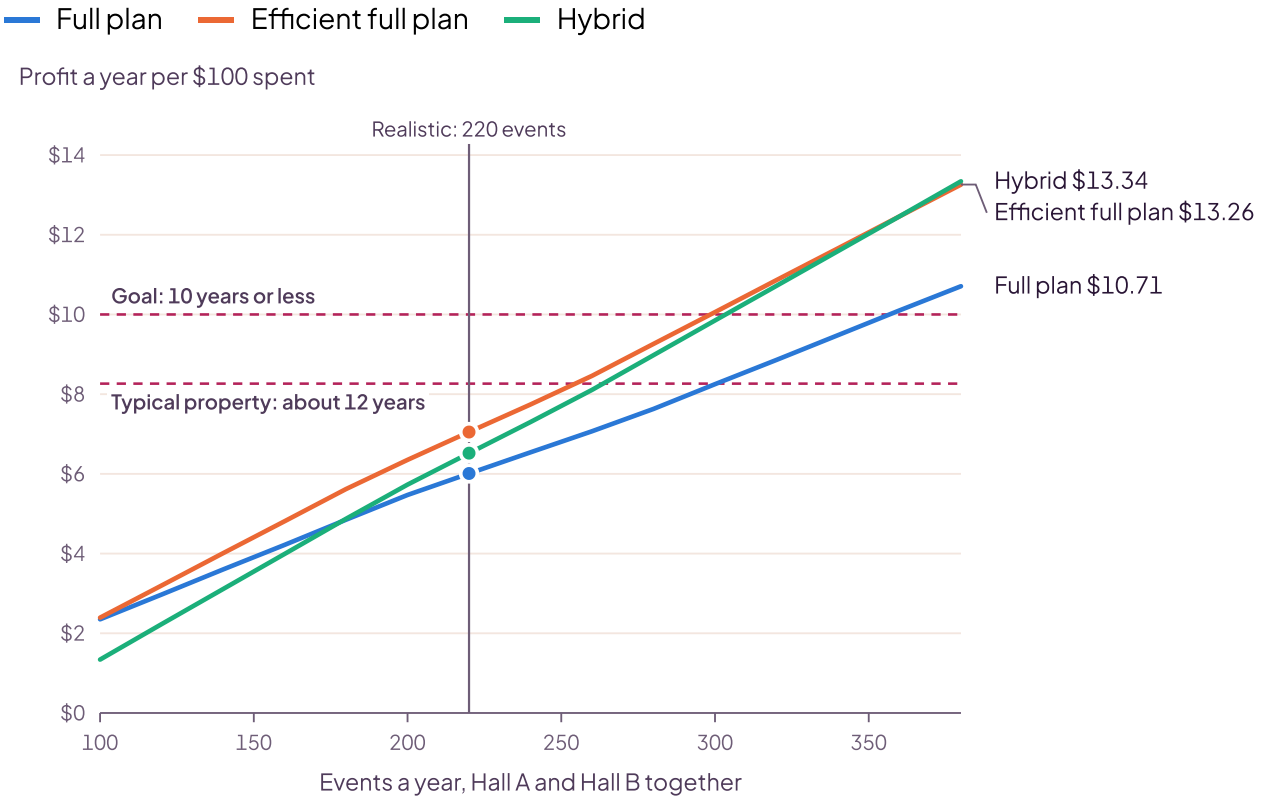
Plan	Case	Money in (buying + building)	Profit each year	Years to earn back	Profit per $100 spent
Full plan	**Realistic**	**$18.5M**	**$1.1M**	**16.6 years**	**$6.01**
Full plan	Best	$12.6M	$2.5M	5.0 years	$19.91
Efficient full plan	Worst	$23.0M	−$261k	Never, at these numbers	Loses $1.14
Efficient full plan	**Realistic**	**$15.2M**	**$1.1M**	**14.2 years**	**$7.05**
Efficient full plan	Best	$10.8M	$2.5M	4.2 years	$23.59
Hybrid	Worst	$17.3M	−$313k	Never, at these numbers	Loses $1.81
Hybrid	**Realistic**	**$13.9M**	**$903k**	**15.3 years**	**$6.52**
Hybrid	Best	$9.9M	$2.3M	4.2 years	$23.60
Lean hold	Worst	$9.5M	−$11k	Never, at these numbers	Loses $0.12
Lean hold	**Realistic**	**$6.8M**	**$388k**	**17.5 years**	**$5.73**
Lean hold	Best	$5.5M	$837k	6.5 years	$15.34

05 · WHAT HAS TO BE TRUE

How many events a year the halls need

Everything else stays at the realistic case. Only the number of events a year across Hall A and Hall B changes.

Efficient full plan meets the 10-year goal at about 298 events a year; the realistic case has 220



Profit each year for every $100 put in, including buying the property at an assumed $3.0M plus fees and closing, for the three plans where the owners run the halls. Everything except bookings stays at the realistic case. Dashed lines: the 10-year goal ($10.00 a year per $100) and a typical investment property (about 12 years) ($8.26 per $100). The solid line marks the realistic 220 events.

The realistic case assumes 220 events a year across Hall A and Hall B.

Full plan: about 300 events a year to beat a typical investment property (about 12 years), and about 357 to meet the 10-year goal.

Efficient full plan: about 254 events a year to beat a typical investment property (about 12 years), and about 298 to meet the 10-year goal.

Hybrid: about 263 events a year to beat a typical investment property (about 12 years), and about 303 to meet the 10-year goal.

The numbers as a table

Each plan at each level of bookings

Events a year	Full plan	Efficient full plan	Hybrid
100	$2.35 (40+ yrs)	$2.39 (40+ yrs)	$1.34 (40+ yrs)
120	$2.97 (33.7 yrs)	$3.20 (31.3 yrs)	$2.23 (40+ yrs)
140	$3.60 (27.8 yrs)	$4.01 (24.9 yrs)	$3.11 (32.2 yrs)
160	$4.22 (23.7 yrs)	$4.81 (20.8 yrs)	$3.99 (25.1 yrs)
180	$4.85 (20.6 yrs)	$5.62 (17.8 yrs)	$4.87 (20.5 yrs)
200	$5.47 (18.3 yrs)	$6.35 (15.7 yrs)	$5.73 (17.5 yrs)
220	$6.01 (16.6 yrs)	$7.05 (14.2 yrs)	$6.52 (15.3 yrs)
240	$6.54 (15.3 yrs)	$7.74 (12.9 yrs)	$7.30 (13.7 yrs)
260	$7.07 (14.1 yrs)	$8.46 (11.8 yrs)	$8.11 (12.3 yrs)
280	$7.63 (13.1 yrs)	$9.26 (10.8 yrs)	$8.98 (11.1 yrs)
300	$8.25 (12.1 yrs)	$10.06 (9.9 yrs)	$9.85 (10.2 yrs)
320	$8.86 (11.3 yrs)	$10.86 (9.2 yrs)	$10.72 (9.3 yrs)
340	$9.48 (10.5 yrs)	$11.66 (8.6 yrs)	$11.59 (8.6 yrs)
360	$10.10 (9.9 yrs)	$12.46 (8.0 yrs)	$12.46 (8.0 yrs)
380	$10.71 (9.3 yrs)	$13.26 (7.5 yrs)	$13.34 (7.5 yrs)

06 · THE BUSINESSES

How each business does on its own

The businesses behind the rents, shown for the **realistic** case. A tenant's profit is what it keeps after paying rent and its share of property costs.

Event halls (Hall A and Hall B), run by the owners

IN SHORT
Covers its costs at about 102 events a year; keeps 27 cents of every sales dollar

Events a year	220
Money coming in (sales)	$2.7M a year
Profit each year	**$724k**
No rent to pay: the owners run it	
Kept from every sales dollar	27 cents

Money to finish the halls and kitchens (one-time)	$3.4M
Events needed to cover its costs	102 a year
Rent an outside hall company could afford	$2.00 per square foot a year

Kids' indoor playground (a tenant)

IN SHORT
Makes $17.60 a year for every $100 it puts in; earns it back in 5.7 years

Money coming in (sales)	**$1.1M a year**
Profit before rent	**$336k**
Rent and its share of property costs	**$142k a year**
Rent of $4.50 per square foot a year	

Profit each year after rent	**$193k**
Money the operator puts in (one-time)	**$1.1M**
Profit each year for every $100 put in	**$17.60**
Years to earn back its money	**5.7 years**

Gas station and store (a fuel company renting the land)

IN SHORT
Thin at these fuel sales: $4.40 a year for every $100 it puts in

Fuel sold	**100,000 gallons a month**
Land rent it pays the property	**$95k a year**
Store profit each year after land rent	**$166k**

Money the fuel company puts in (one-time)	**$3.8M**
Profit each year for every $100 put in	**$4.40**
Years to earn back its money	**22.9 years**

A shop tenant

IN SHORT
Needs about $168 of sales per square foot a year so rent and shared costs stay at 10 cents of each sales dollar

Rent	**$13.50 per square foot a year**
Its share of property costs	**$3.32 per square foot a year**

Sales it needs	**$168 per square foot a year**
For a 1,500 square foot shop	**$252k of sales a year**

07 · ROOF COLUMNS IN THE HALLS

Both main rooms are planned with no columns

Four existing roof columns stand inside the two main rooms, two in each.

The 1997 drawings show existing roof columns on a ~44 ft grid, two inside each 11,000 SF main room. Every plan with halls takes them out and adds long steel beams (transfer girders) to hold the roof, so both rooms are open. A structural engineer must confirm the framing, footings and clear height before any binding commitment.

Taking them out is expected to cost $175k per column in the realistic case, $700k for all four. That is already counted in the money put in for Lease everything, Full plan, Efficient full plan and Hybrid. Hybrid takes out Hall A's columns first and Hall B's when Hall B is added.

08 · BETTER OR WORSE

Why the realistic case could be wrong

The realistic case is a middle estimate from public information, not from contractor bids, surveys or signed tenants.

Why it could turn out better

The floor is confirmed above 250 ft. USGS lidar puts the ground 2–4 ft above the 248 ft flood level along about 85% of the walls. If an elevation certificate confirms the floor, flood work drops to the survey and fixes at the rear dock area.

Bids come in under desk estimates. Roof, HVAC and parking are the biggest swings. County permits show $249,911 of repairs in 2020 and a $423,850 alteration in 2012, so some systems may be newer than assumed. Coating a sound roof instead of replacing it saves about $0.2–0.6M.

Prices reach the premium tier. Once the halls have reviews, premium Memphis venues ask $10,000–12,000 for a 300–400 guest Saturday (the Cadre Building $12,200; Memphis Botanic Garden $10,000), and a full room for 650–700 guests rents for $11,000–15,000. The realistic case averages $5,500 per event across all days.

Hall demand beats 220 events a year. Daytime and evening events on weekends, weekday corporate and church business, and lower off-peak prices can push bookings toward 260–300 a year once each room can be split. About 1,100–1,200 girls in the metro's Hispanic community turn 15 each year, and the largest listed banquet halls in Jackson, MS hold about 350 guests.

Few large halls nearby. No hall outside the hotels seating 500 or more was found in northeast Memphis, Raleigh or Bartlett. The nearest are in Cordova and Germantown (FedEx Event Center, about 500 seated; Esplanade, 400) and downtown (The Kent, 600), and the 900-seat ballroom at the former Memphis Vitality Hotel has closed.

The outparcels earn more. A quick-service pad on Summer Avenue and a credit fuel tenant add $100–230k a year in the best case.

Cheaper financing applies. SBA 504 loans need the owners' business to occupy at least 51% of an existing building. The halls alone are about 37%; running the kids' center as well brings it to about 52%.

Why it could turn out worse

Shops lease slowly. The retail sits deep in the site behind other buildings, and Summer Avenue is under construction until mid-2028.

Large as-is blocks sit empty. The building is empty, large blocks lease slowly, and Memphis big-box vacancy rose in 2026 as furniture stores left and IKEA announced it is closing its 270,000 SF Cordova store.

Bookings start slow. Couples book their venue 12–18 months ahead, so a new hall needs about three years to fill: roughly 110–140 events in year 1 and 170–200 in year 2. Mid-market Memphis halls fill Saturdays only 3–9 months ahead and discount late dates (The Palace at Cordova sells dates inside 30 days from $3,500), and hotel ballrooms, the Esplanade and The Columns compete for large events.

Most weddings are smaller than these rooms. The average wedding has about 117 guests, and most Memphis halls hold 100–350. Two rooms have only 104 Saturdays a year between them, so most of the 220 events must be smaller events on other days. Without the movable walls that split each room, bookings could stay near 120–160 a year.

The building hides costs. A 1984 building converting to assembly use can need more fire alarm (voice evacuation above 1,000 occupants), exit, restroom and electrical work than estimated. The budget's cushion for surprises covers some of this, not all.

Removing the columns costs more than assumed. The steel beams that replace the columns need sound footings at their ends and enough height below the roof. The budget is about $175,000 per column (about $0.7M for four), with the steel fabricator and structural engineer hired directly; contractor-delivered jobs elsewhere ran $207,000–480,000 per column.

One contractor does the whole job. The costs assume the ownership group manages the work and hires each trade directly. A general contractor typically adds about 11–22% for its overhead and profit: about $1.8M more for the efficient full plan, which would then take about 15.7 years instead of 14.2 to earn back, buying the property included.

The earthquake code applies. Memphis is near the New Madrid fault. If the large rooms together hold more than 2,500 people, the code can require strengthening the whole building, which could cost more than the columns.

The flood answer goes the wrong way. If the survey finds the floor below 250 ft, flood-proofing and insurance rise toward the worst case: about $0.85M of flood work instead of about $0.2M. The ground levels around the building make this unlikely.

The fuel pad stays empty. At realistic volumes a fuel company keeps only about $4 a year for every $100 it spends on a roughly $3.8M station, so a ground lease is not assured. The frontage parcel is also marketed on its own.

09 · NOT KNOWN YET

What is not known yet

Each of these is settled before any binding commitment.

Floor elevation

Elevation certificate and boundary survey: finished floor against the 250 ft requirement, and the ground at the rear docks.

Structure

Structural engineer: roof framing, column and footing capacity, clear height, and a price for removing four columns.

Building systems

Roof, rooftop units, electrical service, sprinkler riser and fire alarm: age and condition.

Zoning

City letter confirming event halls, indoor recreation and fuel in CMU-3, and the zoning of the frontage parcel.

Environment

Phase I environmental assessment covering the former quick-lube on the frontage.

Demand

Commitments or letters of intent from caterers, a hall operator, a playground operator and shop tenants.

Earthquake code

If the building's large rooms (over 300 people each) add up to more than 2,500 people, the 2021 building code can require earthquake strengthening of the whole building. Capping each hall's posted capacity is the likely fix; a structural engineer and the City must confirm.

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WORDS USED ON THIS PAGE

What the words mean

Worst, realistic and best case

Three sets of assumptions for costs, rents and bookings. The realistic case is the middle estimate; the other two show how far it could swing.

Money in (buying + building, one-time)

Buying the property at an assumed $3.0M plus fees, closing costs, surveys and inspections, then repairs, building work, finishing the inside, design and permits, a cushion for surprises, the cost of signing tenants, and holding the building while work goes on.

Money coming in each year

Rent from tenants plus sales from the halls where the owners run them, once the building is open.

Money going out each year

The yearly running costs: property tax, insurance, upkeep, management, a repairs reserve, empty space and unpaid rent, and the halls' staff, food and other costs.

Profit each year

Money coming in minus money going out, before any loan payments.

Years to earn back the money put in

The one-time money in (buying and building) divided by the profit each year. Fewer years is better.

Profit each year for every $100 spent

The same idea the other way round: $10 a year for every $100 spent earns the money back in 10 years.

Typical investment property

A finished, rented property like this one usually sells for about 12 years of its profit. A plan that earns back faster creates value; one that takes longer is worth less than it cost to build.

The 10-year goal

This study's goal: earn back the money put in within 10 years, which is $10 a year for every $100 spent.

Your test numbers

Numbers you type in "Try your own numbers". They stay on your screen for this visit only, are not saved and are not part of the study.

Owner-run

Run by the owners' own operating company instead of being rented to another business.

Tenant's share of property costs

On top of rent, tenants pay their share of property tax, insurance and upkeep of shared areas.

Land lease

A business rents only the land, builds its own building on it and pays rent for the land.

Transfer girder

A deep steel beam that holds up the roof where a column used to stand, so the column can come out.

SF

Square feet.

SYCAMORE SQUARE

Planning estimates from public data and market research, 18 Oct 2026. Not an offer, appraisal or financial advice; numbers change with survey, flood, zoning and bids.

← Back to the overview